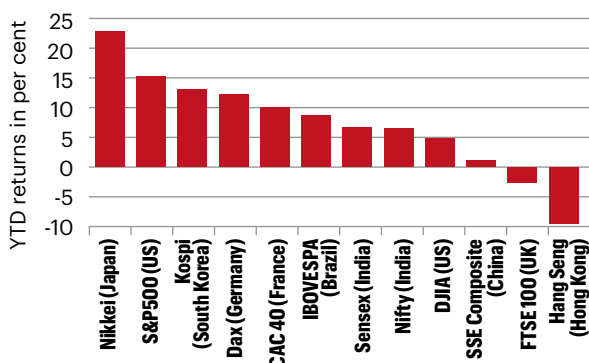


MARKET METRICS

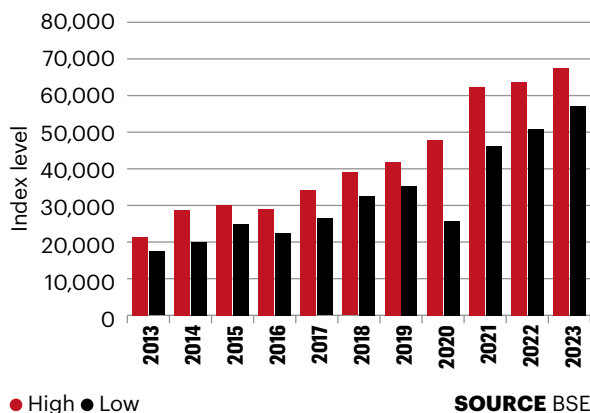
India's benchmark stock indices have given better returns than that of China



DATA AS OF AUGUST 16; SOURCE: BT RESEARCH

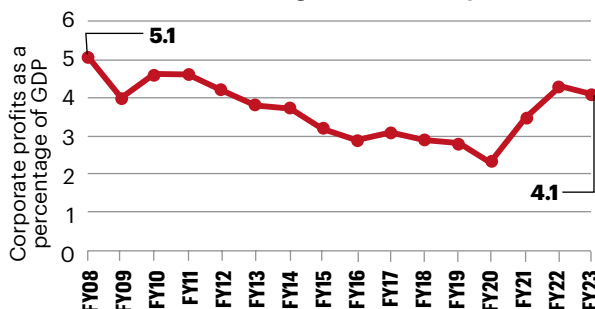
UP, UP, BUT VOLATILE

The market has managed to scale the 67,000-peak in 2023 despite wild swings in the past



PROFITS' PROGRESS

Corporate profits as a share of GDP have recovered from the lows seen during the Covid-19 years



FIGURES INDICATE CORPORATE PROFITS AS A SHARE OF GDP; SOURCE: STANDARD CHARTERED REPORT

global financial firm Macquarie Group, says a deep recession in the US and Europe could force FPIs to pull money out of the domestic market on risk-off trade and inflation coming back. Further, a spike in oil prices could also lead to more interest rate hikes and squeeze corporate margins.

Interestingly, Arora, and a clutch of other leading market experts, believe that a surprise political outcome in the upcoming state and general elections could make the markets more jittery than usual. "Key state elections are coming up early next year. If the BJP's position is seen as shaky, the markets can start thinking of an unstable government being formed in the 2024 general election," says Arora. Elections in Madhya Pradesh, Chhattisgarh, Rajasthan, Mizoram and Telangana are scheduled for the coming months, with the general elections likely to be conducted around April-May 2024.

Jiten Doshi, Co-founder and Chief Investment Officer of Enam Asset Management Company, agrees that one of the key risks facing the stock markets is political in nature, in the form of an "unexpected electoral outcome in India and its medium-term effects on policy".

Meanwhile, the run-up to the general elections, combined with a busy state election schedule, typically gives rise to periods of intense volatility, though it is also known to dissipate rapidly. Gaurav Dua, Head of Capital Market Strategy at Sharekhan by BNP Paribas, also has a bullish view on the markets, but lists possible recession in developed markets, rising crude oil prices, and the forthcoming state elections as three key risks for the markets. "If the outcome [of the elections] is far worse than market expectations, it could have a meaningful impact on markets. However, it is generally seen that the known risks do get absorbed quickly. It is always the unknown risks that can lead to a sharp correction."

Interestingly, there is a silver lining associated with the electoral risk in terms of the government's enhanced focus on infrastructure spending to brush up its credentials before the elections. "Calendar year 2023 is a pre-election year. It has been observed that benchmark indices perform relatively well in the pre-election years... Support could continue from the government, which is keen to stimulate investment activity in newer sectors," says Jasani of HDFC Securities. He adds that initiatives like the PLI scheme can help boost manufacturing by wresting some supply chains away from China, propel exports, and attract rapidly-growing industries like semiconductors, electric vehicles and renewables that are of strategic geopolitical importance.

Similarly, Arora says that the government has already